IL Level Term Rider (U176)

(IL Unit Deduction Rider – Investment Linked Insurance Plan)

Plan Name : **IL Level Term Rider**
Plan code : U176
Product Abbreviation : IL LTR
Target Launch Date : 10 August 2020

PLAN DESCRIPTION

1. This is a unit deduction rider that is only attachable to the following plans:
   a. SmartProtect Legacy Max (Plan Code: 0494)
   b. SmartProtect Wealth Plus (Plan Code: 0525)
   c. *SmartProtect Wealth 20 (Plan Code: 0497)
   **Withdrawn Plans (for Inclusion of Rider at CS Stage)*
1. Insurance charges will be deducted from the unit fund(s) monthly.
2. The rider's sum assured will NOT accelerate the basic plan's Basic Sum Assured (BSA).
3. This rider can be attached at any time effective at next monthly due.
4. This rider is not subject to Medical and Health Insurance (MHI) guideline.

BENEFITS

1. Death Benefit

Upon death of the Life Assured, the Company will pay the rider sum assured (SA) in one lump sum.

In the event death occurs before age of 5, the Company will pay the following percentage of rider SA.

Age next birthday	Death Benefit after Lien
1	20% of the rider SA
2	40% of the rider SA
3	60% of the rider SA
4	80% of the rider SA

Full life cover will be given from age 5 years next birthday.

2. Total and Permanent Disability (TPD) Benefit

Upon TPD of the Life Assured prior to the policy anniversary on which the Life Assured attains age 70 next birthday, the rider SA not exceeding RM10,000,000 shall be paid in 3 annual instalments with the first being a lump sum of the rider SA or RM2,000,000, whichever is lesser, and the balance of the rider SA will be payable in two equal, annual instalments of maximum RM4,000,000 each.

The TPD cover for child below age 5 next birthday is subject to the lien as per Death Benefit. Full TPD cover will be given from age 5 next birthday onwards.

The maximum TPD Benefit payable under this and all policies and riders on the same life is RM10,000,000 per life (excluding group policies).

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UNDERWRITING GUIDELINES

Minimum/Maximum Sum Assured
Minimum : RM 500,000
Maximum : Basic Sum Assured

Minimum/Maximum Age at Entry
Minimum : 14 days attained age
Maximum : 70 years age next birthday

Minimum/Maximum Rider Term
Minimum : 5 years
Maximum : Basic plan's coverage term

Risk Charge Term
Follow Rider Term. Risk charge term means the period where the insurance charges are being levied.

Backdating
Not applicable.

Non-Medical Limits
100% of the rider SA will be aggregated to the basic plan that it is attached to.

Underwriting for Substandard Life
Follow existing practice.

CHANGES IN SUM ASSURED

Increase / Decrease in Sum Assured
The rider sum assured can be increased / decreased at **any time**.

DISCOUNT

Large Sum Assured Discount (LSAD)
Not available.

Female Discount / Non-Smoker Discount
Rates vary by gender and smoker statuses.

Discount on rider's Cost of Insurance (COI)
With the condition that the BSA is RM1million or above, the rider cost of insurance (COI) will be discounted as per the table below, starting from the risk effective date:

Year (from rider's risk effective date)	Discount on Rider's COI
1st	10%
2nd	20%
3rd	30%
4th year onwards	40%

Conditions:
d) The discount on the rider COI will be applied to the following:
min(initial rider sum assured, current rider sum assured, RM1,000,000)

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For rider sum assured above RM1million, the discount will be capped at RM1million. The balance of the rider sum assured will be charged at standard COI (non-discounted COI).

e) If the BSA is reduced to below RM1million at CS stage, the discount on the rider's COI will be terminated and will not be resumed even if the BSA is increased to RM1million or above in the future.

f) If the discount is not applicable right from the start (i.e. the rider's risk effective date) because the BSA condition is not met, the discount will not be applicable in the future even after the BSA is increased to RM1million or above.

g) The discount on rider's COI will terminate once the policy is terminated and will not resume even if the policy is reinstated.
Note: However, if the rider is cancelled and added back as a new rider, the discount will start over again at 10%.

h) The discount on rider's COI will not apply to any extra insurance charge imposed due to risk arising from occupation, avocation, health or any other circumstances.

INSURANCE CHARGE

1. Insurance Charge rate will vary according to attained age next birthday at last policy anniversary, gender and smoking status of the Life Assured.

2. Insurance Charge is deducted monthly by cancellation of units at the beginning of each policy month based on the Sum Assured and calculated using the formula below or until occurrence of a valid claim event, whichever is earlier.

$$\text{Monthly Insurance Charge} = \frac{\text{Insurance Charge Rate Per Annum* x Sum Assured}}{1{,}000 \times 12}$$

**Refer to Appendix for the indicative insurance charges rates table.*

OTHER PRODUCT FEATURES

Automatic Premium Loan / Policy Loans / Bonus Rate / Agency Compensation / Surrender Values / Paid-up Values / Extended Term Assurance
Not applicable.

Auto-Extension
Allowed only if the basic plan has this feature and if the rider is still inforce upon the maturity of the basic plan.

OTHER PRIVILEGES

Assignment / Nomination / Third Party Policy / Reinstatement
Follow basic plan.

Free Look Period
Policyholder is allowed to cancel this rider within 15 days. Under such circumstance, the Company will reinstate the units which have been deducted for the payment of Insurance Charge after net of medical expenses incurred by the Company (if any) in the issuance of this rider.

Riders Allowed
Not applicable.

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EXCLUSIONS

No payment of benefits will be payable for any of the following:

1. Suicide, while sane or insane within 1 year from the risk effective date.
2. TPD that has existed prior to the risk effective date.
3. TPD caused directly or indirectly by self-inflicted injuries, while sane or insane.
4. TPD resulted from the life assured committing, attempting or provoking an assault or a felony or from any violation of law by life assured.
5. TPD resulted from war, whether declared or undeclared.
6. TPD caused by bodily injury sustained as a result of parachuting or sky diving or engaging in aerial flights other than as a crew member or as a fare-paying passenger of a licensed commercial airline operating on a regular scheduled route.

Note: The exclusion list may not be exhaustive .For full list of the exclusions, please refer to the policy contract.

APPENDIX

Insurance Charge Rate per RM 1,000 Sum Assured

Age Next Birthday	Male		Female	
	Non-Smoker	Smoker	Non-Smoker	Smoker
1	0.797	0.797	0.797	0.797
2	0.797	0.797	0.797	0.797
3	0.797	0.797	0.797	0.797
4	0.797	0.797	0.797	0.797
5	0.797	0.797	0.797	0.797
6	0.797	0.797	0.797	0.797
7	0.797	0.797	0.797	0.797
8	0.797	0.797	0.797	0.797
9	0.797	0.797	0.797	0.797
10	0.797	0.797	0.797	0.797
11	0.797	0.797	0.797	0.797
12	0.797	0.797	0.797	0.797
13	0.797	0.797	0.797	0.797
14	0.797	0.797	0.797	0.797
15	0.797	0.797	0.797	0.797
16	0.797	0.797	0.797	0.797
17	0.797	0.797	0.797	0.797
18	0.797	0.797	0.797	0.797
19	0.844	0.844	0.844	0.844
20	0.844	0.844	0.844	0.844
21	0.844	0.844	0.844	0.844
22	0.844	0.844	0.844	0.844

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Age Next Birthday	Male		Female	
	Non-Smoker	Smoker	Non-Smoker	Smoker
23	0.844	0.844	0.844	0.844
24	0.844	0.844	0.844	0.844
25	0.844	0.844	0.844	0.844
26	0.844	0.844	0.844	0.844
27	0.844	0.844	0.844	0.844
28	0.844	0.844	0.844	0.844
29	0.844	0.844	0.844	0.844
30	0.844	0.844	0.844	0.844
31	0.844	0.844	0.844	0.844
32	0.844	0.844	0.844	0.844
33	0.844	0.844	0.844	0.844
34	0.844	0.844	0.844	0.844
35	0.844	0.844	0.844	0.844
36	0.844	0.914	0.844	0.844
37	0.914	0.977	0.844	0.844
38	0.977	1.052	0.844	0.844
39	1.052	1.140	0.844	0.914
40	1.140	1.247	0.914	0.977
41	1.247	1.373	0.977	1.052
42	1.373	1.531	1.052	1.140
43	1.531	1.720	1.140	1.247
44	1.720	1.940	1.247	1.373
45	1.940	2.180	1.373	1.531
46	2.180	2.444	1.531	1.720
47	2.444	2.741	1.720	1.940
48	2.741	3.049	1.940	2.180
49	3.049	3.383	2.180	2.444
50	3.383	3.755	2.444	2.741
51	3.755	4.164	2.741	3.049
52	4.164	4.618	3.049	3.383
53	4.618	5.128	3.383	3.755
54	5.128	5.670	3.755	4.164
55	5.670	6.243	4.164	4.618
56	6.243	6.836	4.618	5.128
57	6.836	7.421	5.128	5.670
58	7.421	7.970	5.670	6.243
59	7.970	8.524	6.243	6.836
60	8.524	9.148	6.836	7.421
61	9.148	9.923	7.421	7.970
62	9.923	10.886	7.970	8.524
63	10.886	11.976	8.524	9.148
64	11.976	13.545	9.148	9.923

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Age Next Birthday	Male		Female	
	Non-Smoker	Smoker	Non-Smoker	Smoker
65	13.545	14.761	9.923	10.886
66	14.761	16.267	10.886	11.976
67	16.267	17.892	11.976	13.545
68	17.892	19.757	13.545	14.761
69	19.757	21.823	14.761	16.267
70	20.476	22.563	15.318	16.905
71	21.194	23.302	15.874	17.543
72	23.302	25.656	17.543	19.285
73	25.656	28.169	19.285	21.194
74	28.169	30.883	21.194	23.302
75	30.883	33.842	23.302	25.656
76	33.842	37.094	25.656	28.169
77	37.094	40.665	28.169	30.883
78	40.665	44.489	30.883	33.842
79	44.489	48.592	33.842	37.094
80	48.592	53.007	37.094	40.665
81	53.007	57.782	40.665	44.489
82	57.782	62.936	44.489	48.592
83	62.936	68.442	48.592	53.007
84	68.442	74.300	53.007	57.782
85	74.300	80.498	57.782	62.936
86	80.498	87.055	62.936	68.442
87	87.055	93.984	68.442	74.300
88	93.984	101.313	74.300	80.498
89	101.313	109.007	80.498	87.055
90	109.007	117.000	87.055	93.984
91	117.000	125.233	93.984	101.313
92	125.233	133.685	101.313	109.007
93	133.685	142.490	109.007	117.000
94	142.490	151.567	117.000	125.233
95	151.567	160.784	125.233	133.685
96	160.784	170.021	133.685	142.490
97	170.021	179.031	142.490	151.567
98	179.031	187.377	151.567	160.784
99	187.377	195.650	160.784	170.021